

ECONOMICS PAPER 1

(Mock Test 40)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

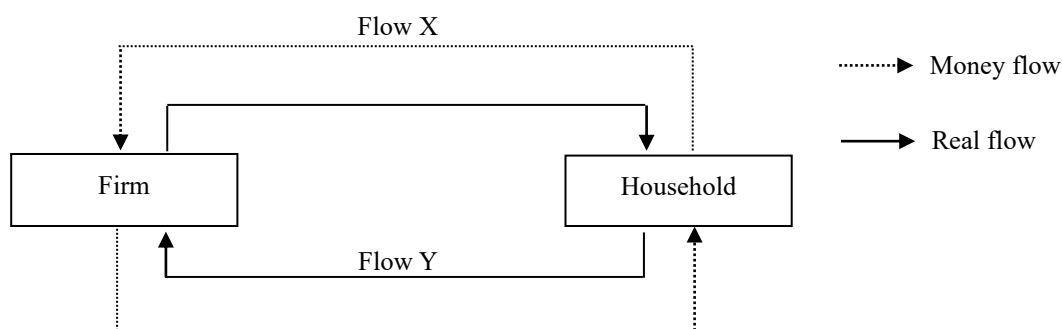
There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. The existence of scarcity implies that
 - (1) human desires are unlimited.
 - (2) there is price competition.
 - (3) some people's wants are not satisfied.
 - A. (3) only
 - B. (1) and (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only

2. Lyndon is considering what career to pursue after graduating from university. He is considering becoming a fencing coach or a civil servant. Which of the following would be the **LEAST** important factor for Lyndon in choosing whether to become a fencing coach or a civil servant?
 - A. The government increases benefits for civil servants.
 - B. Many schools are establishing fencing teams and hiring fencing coaches.
 - C. The income of a fencing coach is lower than Lyndon expected.
 - D. Lyndon had already obtained the qualification of a fencing coach when he was in university.

3. Mr. Wong plans to purchase an exercise bike from a second-hand trading website. Which of the following situations would increase his cost of purchasing the exercise bike?
 - A. Mr. Wong needs to pay an additional transportation fee to have the exercise bike delivered to his home.
 - B. Mr. Wong finds that the usage experience of the exercise bike is not as good as expected after purchasing it.
 - C. Mr. Wong gets injured while using the exercise bike.
 - D. Mr. Wong finds that the exercise bike is damaged after purchasing it and needs to pay extra repair fees before he can use it.

4. Refer to the circular flow diagram of an economy.



In the diagram, flow X represents the _____ and flow Y represents the _____.

- A. consumption expenditure on final goods and services ... final goods and services
- B. consumption expenditure on final goods and services ... factors of production
- C. cost of production ... factors of production
- D. cost of production ... final goods and services

5. In a public housing estate mall managed by the Hong Kong Housing Authority, a restaurant has decided to stop serving steak for dinner and instead to offer hot pot, as the latter is more popular among customers.

This is an example of using _____ to solve the problem of _____.

- A. the market mechanism ... 'what to produce'
- B. the market mechanism ... 'for whom to produce'
- C. government command ... 'for whom to produce'
- D. government command ... 'how to produce'

6. Compared with a market economy, in a planned economy,

- A. people will be wealthier.
- B. resource allocation relies less on price competition.
- C. income will be more evenly distributed.
- D. fewer resources will be owned by the government.

7. Many companies provide lockers for employees to use. Generally, only the employees themselves hold the keys to their lockers. Which of the following statements are **CORRECT**?

- (1) Employees have the exclusive right to use their own lockers.
- (2) To the company, the employees' lockers are capital goods.
- (3) The lockers are private goods.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. Compared with a private limited company,

- A. a public limited company has wider sources of capital.
- B. a sole proprietorship has better continuity.
- C. the financial information of a partnership is more confidential.
- D. a public limited company has more capital.

9. From the viewpoint of a small investor, which of the following is a possible reason for choosing to buy shares instead of bonds?

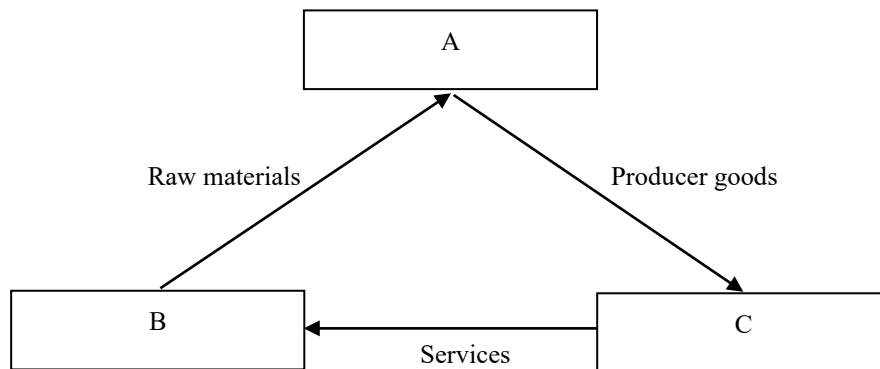
- A. The rate of return from shares is more stable.
- B. Shareholders may get a higher return from holding shares.
- C. Shareholders can claim repayment prior to bondholders if the company winds up.
- D. Shareholders can participate in the company's daily operations.

10. A company provides a bike-sharing service. The public can rent bikes by paying through a mobile application.



These bikes are

- A. capital, because producing these bikes involves costs.
 - B. private goods, because these bikes directly satisfy human wants.
 - C. public goods, because these bikes are available for public use.
 - D. economic goods, because people are willing to pay and compete for the use of these bikes.
11. Refer to the following diagram.



A, B and C represent _____, _____ and _____ respectively.

- A. secondary production ... primary production ... tertiary production
 - B. secondary production ... tertiary production ... primary production
 - C. primary production ... secondary production ... tertiary production
 - D. primary production ... tertiary production ... secondary production
12. Which of the following is/are considered as 'land' in economics?
- (1) water in a natural lake
 - (2) rainwater collected in a reservoir
 - (3) water used for cooling machinery in a factory

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

13. Refer to the following conversation between a music studio owner and a music teacher.

Music studio owner: I purchased this place and opened this music studio. You can pay the rent to use this studio.

Music teacher: I will rent your music studio to launch music courses, and I will recruit students and teach violin by myself.

The income earned by the studio owner consists of _____ while the income earned by the music teacher consists of _____.

- A. rent ... wage
 - B. interest and profit ... wage and profit
 - C. profit ... interest and profit
 - D. wage ... profit
14. Refer to the following information about a factory in 20X4 and 20X5.

	20X4	20X5
Number of workers	40	55
Total number of working hours	1,000	1,000
Quantity of output (units)	5,000	6,000

Based on the above information, which of the following statements is most likely to be **CORRECT**?

- A. The working environment of the factory in 20X4 was better than that in 20X5.
 - B. The production technology of the factory in 20X5 was more advanced than that in 20X4.
 - C. The labour supply of the factory increased in 20X5.
 - D. The average labour productivity of the factory in 20X5 was lower.
15. Which of the following situations will lead to an increase in the geographical mobility of labour in Hong Kong?
- A. more trade unions of different industries getting dissolved
 - B. providing tax concessions to talents coming to Hong Kong from abroad
 - C. providing public transportation subsidies to low-income people
 - D. cancelling the 'Continuing Education Fund'
16. A Chinese restaurant has decided to change from closing on Mondays to operating every day. Which of the following are variable costs incurred due to the decision?
- (1) expenditure on purchasing tea leaves
 - (2) salary of the human resources department staff
 - (3) electricity fee
 - (4) rent
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (2) and (3) only
 - D. (1), (3) and (4) only

17. The table below shows the input-output relationship of a firm. Labour is the only input of the firm. The cost per unit of labour is \$10.

Labour (units)	Total product (units)
1	5
2	12
3	24
4	31
5	35

The table above shows a _____ situation, where _____.

- A. short run ... the law of diminishing marginal returns applies
 - B. short run ... the law of diminishing marginal returns does not apply.
 - C. long run ... diseconomies of scale exists when output increases from 24 units to 31 units
 - D. long run ... economies of scale exists when the output increases from 31 units to 35 units
18. Refer to the following table.

Machines (units)	10	10	10	10	10
Labour (units)	1	2	3	4	5
Average output (units)	2	3	4	5	X

If the law of diminishing marginal returns applies to the firm, the value of X _____.

- A. can be 6
 - B. can be 5
 - C. must be greater than 5
 - D. must be smaller than 5
19. The following table shows the cost-output relationship of a profit-maximising firm. Suppose the market price is \$8.

Output (units)	2	3	4	5	6
Total cost (\$)	6	12	20	30	42

Suppose the firm's average cost per unit of output increases by \$2. The profit-maximising output of the firm will _____ and the profit will be _____.

- A. decrease by 1 unit ... \$6
 - B. decrease by 1 unit ... \$12
 - C. remain unchanged ... \$6
 - D. remain unchanged ... \$12
20. Karmen operates a baking studio. Under which of the following situations would Karmen reduce production to maximise profit?
- A. The business registration fee increases.
 - B. The monthly rent of the baking studio decreases.
 - C. The price of flour rises significantly.
 - D. A television drama related to baking has inspired more people to take an interest in baking.

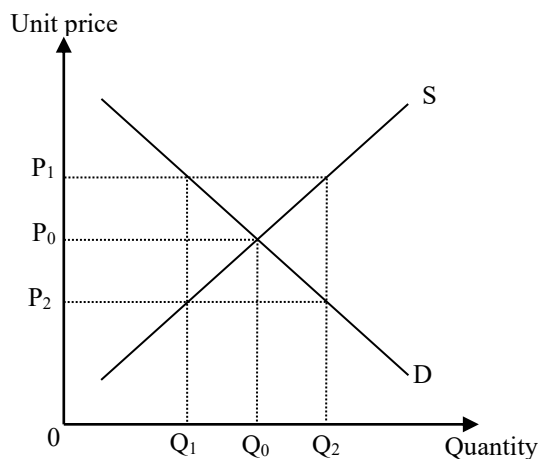
21. In March 2025, PepsiCo proposed acquiring the prebiotic soda brand Poppi. Poppi is marketed for its low-calorie formula, distinguishing it from traditional sugary sodas. Which of the following is the **LEAST** likely motive behind the acquisition?
- reduce competition
 - achieve economies of scale
 - ensure a reliable supply of input
 - use resources more efficiently

22. To celebrate the Hong Kong Special Administrative Region Establishment Day on 1 July, many restaurants launched discount promotions. As a result, the number of customers visiting these restaurants on 1 July increased significantly. Some customers, even though willing to pay the price set by the restaurants, were unable to reserve a table.

Based on the above information, which of the following statements about the situation on 1 July is/are **CORRECT**?

- The demand for restaurant services provided by the restaurants increased due to the discount promotions.
 - There was a shortage in the market of restaurant services.
 - The restaurants offering discounts did not maximise their profits.
- (1) only
 - (2) only
 - (1) and (2) only
 - (2) and (3) only

23. Refer to the following diagram.



When the market price is _____, the quantity transacted will be _____. There is a surplus in the market.

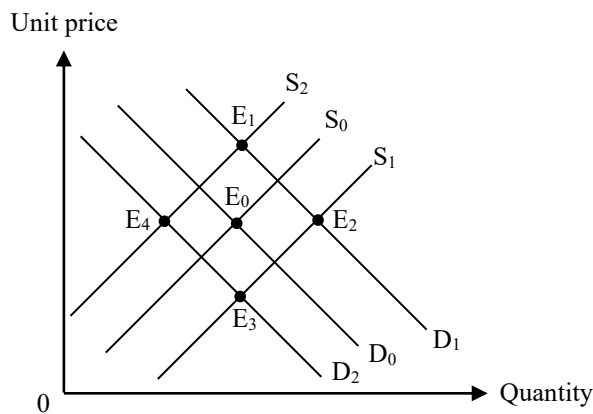
- $P_1 \dots Q_1$
- $P_1 \dots Q_2$
- $P_2 \dots Q_1$
- $P_2 \dots Q_2$

24. When the government increases the fixed airport departure tax charged to all travellers,
- there will be an excess supply of flight seats.
 - the average flight distance of outbound passengers will decrease.
 - government's revenue from the airport departure tax must increase.
 - the proportion of passengers choosing business class seats will increase relative to economy class seats.

25. The supply curve for good X is upward sloping, and its demand is perfectly inelastic.

If the production cost of good X decreases, and the price of the substitute for good X increases, the equilibrium price of good X _____ and its equilibrium quantity _____.

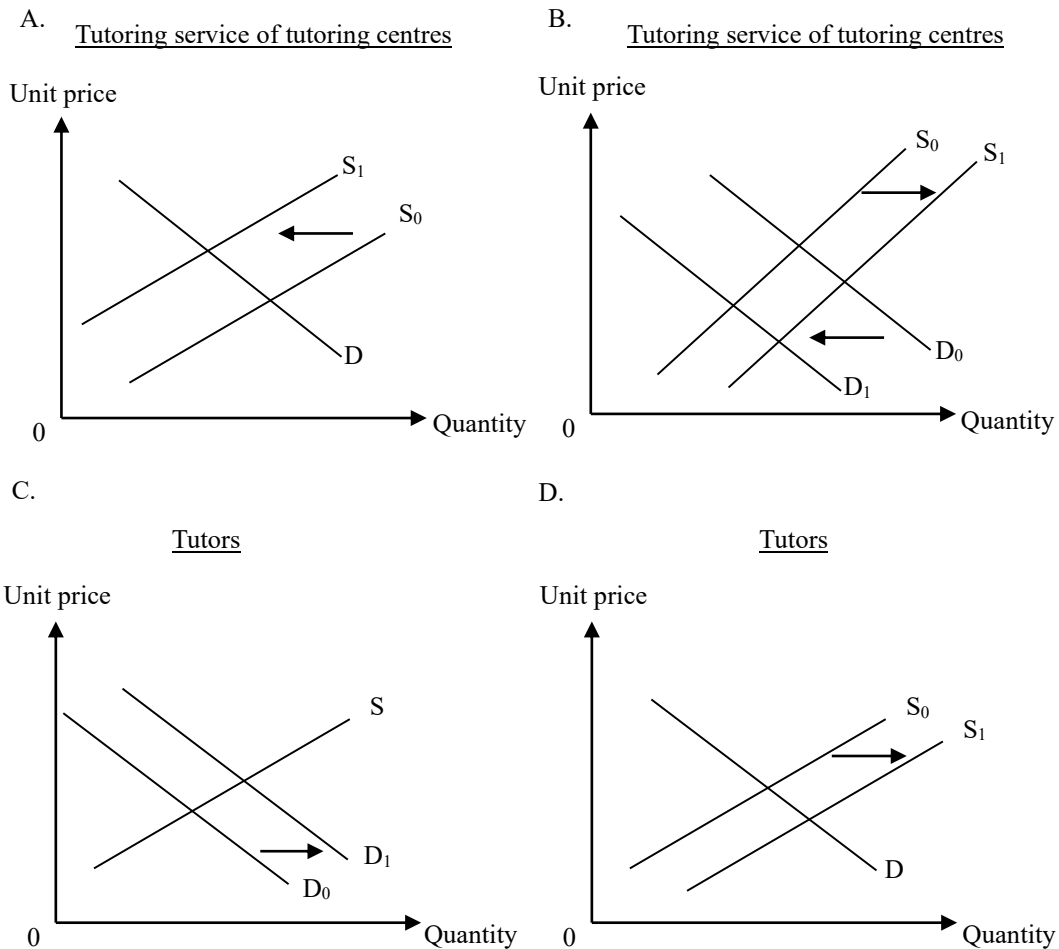
- will decrease ... will decrease
 - may increase, decrease or remain unchanged ... will decrease
 - will increase ... will increase
 - may increase, decrease or remain unchanged ... will increase
26. The following is the demand-supply diagram of instant noodles. E_0 is the initial equilibrium point.



Suppose there is a shortage of raw materials for producing instant noodles. At the same time, people's income generally increases and instant noodles are regarded as inferior goods. The new equilibrium point will be at _____.

- E_1
- E_2
- E_3
- E_4

27. Suppose the government of a country relaxes the licensing requirements for tutoring centres. At the same time, students generally pay more attention to academic performance. Which of the following diagrams can represent the above situation?



28. Given that the price elasticity of supply of cakes is 0.5. When the price of cakes increases,

- the demand for cakes will decrease.
- the quantity supplied of cakes will decrease.
- the quantity supplied of cakes will change by the same percentage.
- the quantity supplied of cakes will increase, while the percentage increase will be smaller than the percentage increase in price.

29. Which of the following will increase the price elasticity of demand for bus services?

- More minibus routes stop their services.
- The wage rate of bus drivers increases.
- More railway branch lines are completed.
- The breakdown rate of buses decreases.

30. With technological advancements, Country A's drug production technology has significantly improved. As a result, the price of locally produced drugs has changed by 40% and the quantity transacted has changed by 20%. Which of the following statements are **CORRECT**?
- (1) The total revenue of locally produced drugs will decrease.
 - (2) Both the demand for and supply of locally produced drugs will increase.
 - (3) The price and quantity transacted of imported drugs will decrease.
 - (4) The total expenditure on imported drugs may increase.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

END OF PAPER